

PAID-UP OIL AND GAS LEASE

Effective Date: June 21, 2024

Lessor: Sage Creek Minerals, LLC

Lessee: Lone Mesa Exploration, Inc.

County: Lea, New Mexico

Recitals

Lessor owns an interest in the oil, gas, and other minerals underlying the lands described herein and desires to lease the same to Lessee for development.

Leased Lands

Township 16 South, Range 35 East, N.M.P.M., Section 21: NE/4, containing approximately 160.00 net mineral acres in Lea County, New Mexico.

This lease also covers and includes all land owned or claimed by Lessor adjacent or contiguous to the land particularly described above, whether the same be in said survey or in adjacent surveys, although not included within the boundaries above (the "Mother Hubbard" clause).

Consideration and Bonus

Lessee has paid Lessor \$2,000.00 per net acre as a paid-up bonus, the receipt of which is acknowledged, covering the full primary term with no delay rentals due.

Term

Primary term of five (5) years, and so long thereafter as operations or production continue on the leased lands or lands pooled therewith.

Royalty

20% (1/5) of production, delivered or paid free of the costs of exploration, drilling, and production.

Continuous Development

A continuous-development clause requires Lessee to commence a new well within 180 days of completion of the prior well to hold acreage outside a producing unit; this lease covers all depths.

Force Majeure

When operations or production are prevented or delayed by force majeure -- including acts of God, war, governmental regulation or delay in issuing permits, inability to obtain materials, or lack of available market or transportation -- this lease shall not terminate, the time of such delay shall not be counted against Lessee, and the lease shall be extended for so long as operations are so prevented or delayed.

Pugh Clause

Pugh Clause: Upon expiration of the primary term, this lease shall terminate as to all lands and all depths not then included within a producing or pooled unit, unless Lessee is then conducting continuous operations as provided herein.

Execution

Executed by Sage Creek Minerals, LLC (Lessor) and Lone Mesa Exploration, Inc. (Lessee) effective June 21, 2024.

STATE OF NEW MEXICO

COUNTY OF LEA

This instrument was acknowledged before me on the date written above by Sage Creek Minerals, LLC.

Notary Public

My commission expires: _____